

SUMMARY OF SAFEGUARDING FRAMEWORK
November 2025

Definitions

Cold Wallet	A Crypto-Asset wallet that is not connected to the internet and is used for the secure offline storage of Crypto-Assets. It is considered highly secure because it is not exposed to online threats, such as hacking or malware, and is typically used to store the majority of Crypto-Assets for long-term safekeeping.
Client	A person to whom the Firm provides Services, or which applies to the Firm for potential provision of Services.
Clients' Funds	Refers to Clients' funds other than e-money tokens subject to safeguarding requirements in accordance with the MiCAR.
Crypto Assets	Refers to crypto assets as defined under MiCAR.
Custody Wallet	A Crypto-Asset wallet held by the Firm to store the Client's Crypto-Assets. The Custody Wallet is segregated from the Firm's proprietary assets and is intended solely for the safekeeping of the Client's Crypto-Assets. The wallet may be a Hot Wallet or Cold Wallet.
Credit InstitutionFirm	Any credit institution which is established in a member state and holds authorization in accordance with Directive 2013/36/EU.
Firm	Refers to Blue Cube (Malta) Limited.
Firm Wallet	A wallet held and controlled by the Firm itself, as opposed to a Custody Wallet. This wallet is used to store the Firm's own Crypto-Assets. Firm Wallets are kept separate from Custody Wallets to ensure clear segregation of assets.
Hardware	Refers to hardened, tamper-resistant hardware devices that secure cryptographic processes by generating, protecting, and managing keys used for encrypting and decrypting data and creating digital signatures and certificates.
Security Module or HSM	A Hardware Security Module (HSM) is a physical computing device that safeguards and manages digital keys for strong authentication and cryptographic processing. The HSM is considered the highest standard of security for protecting the most sensitive data: the private keys
Hot Wallet	Crypto-Asset wallet that is connected to the internet and is used for the active management and transaction of Crypto-Assets. Hot

	Wallets are typically used for holding smaller amounts of Crypto-Assets required for day-to-day transactions, as they are more vulnerable to online threats but offer easier access for quick transactions.
MiCAR	Refers to the Regulation (EU) 2023/1114 on Markets in Crypto-Assets.
Multi-Party Computation or MPC	Refers to a cryptographic technology that allows multiple parties to collectively compute a function over their private inputs without ever revealing their individual inputs to each other or to a third party. MPC's primary application is in key management and security, where it provides a superior, often more flexible, and more robust alternative to traditional multi-signature (multisig) wallets.
Safeguarding Account	A cryptographic technique that eliminates the concept of a single private key, which is never held in its entirety to avoid the existence of a single point of failure. As such, the private cryptographic keys required to access and manage crypto assets are divided into multiple "shards" or fragments. Each shard is held by a different party or entity. A separate account or accounts opened with the Credit Institution (-s) by the Firm which is dedicated for the safeguarding of the Clients' Funds.
Services	Refers to the services provided by the Firm pursuant to MiCAR.

1. Purpose

This is a summary of the Firm's framework for safeguarding Clients' Funds and Crypto Assets. It outlines the key elements of the Firm's security approach, including the custody and protection of Crypto Assets, the safeguarding of Clients' Funds, and measures implemented to ensure Firm's compliance with the MiCAR requirements.

2. Custody Environment

2.1. Secure Storage

The Firm has implemented robust and multi-layered security measures for the storage and management of Crypto Assets, ensuring that no third-party sub-custodian or external service provider is involved in safeguarding the Crypto Assets.

The Firm uses proprietary Blockchain.com group custody infrastructure to securely manage and protect Clients' Crypto Assets. This solution is designed to provide maximum security, with features including cold storage, multi-signature wallets, and advanced encryption protocols. The Firm's custody solution has undergone a rigorous independent assessment by the Cryptocurrency Certification Consortium (CCC), adhering to the Crypto Currency Security Standard Framework. It has successfully earned a Level 3 Certification, the highest available rating, demonstrating its exceptional security standards.

The Firm takes full control, on behalf of its Clients, of access to Crypto Assets. This includes diligent preservation and management of all private keys, which are crucial for securing the Clients' holdings. The Firm's comprehensive approach to key management ensures that private keys are never exposed to unnecessary risk, and the Firm adheres to best practices in key generation, storage, backup, and retrieval. Additionally, regular audits and security reviews are conducted to proactively identify and mitigate emerging risks.

The Firm also implements continuous monitoring of all processes related to key and wallet management, providing real-time visibility into the security status of Clients' assets. In the event of any potential security breach or operational anomaly, the Firm is prepared to respond swiftly through its established incident response protocols, ensuring that the safety of Crypto Assets is never compromised.

Regular internal and external audits are conducted, and any incidents are escalated under the Firm's Incident Response and Business Continuity Plan.

2.2. Structure of Firm Wallets

For the custody of each Client Crypto Asset type, the Firm uses a segregated, omnibus Hot Wallet in combination with a segregated, omnibus Cold Wallet. Similarly, for each proprietary Crypto Asset type, the Firm employs a separate omnibus Hot Wallet and Cold Wallet. This structure enables the Firm to clearly distinguish between Firm's Wallets, which hold the Firm's own Crypto Assets, and Custody Wallets, which hold Clients' Crypto Assets.

To enhance security and minimize risk, the Firm stores the majority of Clients' Crypto Assets in Cold Wallets. Hot Wallets are used for active transactions and are continuously monitored to ensure the proper amount of liquidity is available. Any excess funds in Hot Wallets are regularly transferred to Cold Wallets for added protection. Furthermore, all Customer Crypto Asset transactions undergo a multi-validation process, managed by the Firm, to prevent unauthorized access or alterations. This process is further fortified by the implementation of Multi-Party Computation (MPC) technology, which strengthens the integrity and security of transactions.

The Firm employs private key backups and physical hardware security modules (HSMs) to enhance key management security. Access to these critical systems is tightly controlled by a role-based personnel access system, ensuring that only authorized personnel can manage or retrieve keys. This system not only guarantees secure key management but also enables the Firm to recover assets in case of operational disruptions or emergencies.

2.3. Crypto Assets Segregation

Clients' Crypto Assets are deposited into segregated Custody Wallets, legally separated from the Firm's assets. Thus, in the event of insolvency of the Firm the clients' assets will be returned or transferred, and creditors cannot claim them. Clients retain full beneficial ownership of their Crypto Assets at all times. The Firm manages private keys for these assets, storing them in omnibus wallets that aggregate assets for multiple Clients while maintaining clear distinctions from the Firm's holdings.

Client's Crypto Assets or Funds are never included on the Firm's balance sheet or used for third-party transactions, investments, or proprietary trading. To ensure transparency, the Firm real-time provides to the clients detailed records of Clients' holdings, transaction histories, and asset movements. All transactions are promptly recorded and rigorously reconciled to prevent

discrepancies. Clients can access detailed statements of their holdings at any time, ensuring full transparency.

2.4. Register of Positions and Reconciliation

The Firm provides Clients with a statement of the Crypto-Assets recorded in their name. This statement includes details of the Crypto-Assets, their balance, value, and any transfers made during the reporting period. Clients can access their positions on a real-time, continuous basis, via the Client account user interface. Transactions are immutably recorded in a tamper-proof ledger. Transactions are reconciled in real time using Firm's accounting systems, comparing the Crypto-Assets recorded in a Client's position to the Crypto-Assets in custody. This ensures immediate detection and resolution of any discrepancies between the recorded Client balances and actual Crypto-Assets held in the Custody Wallets.

2.5. Custodian Liability

In cases where there are changes to the underlying distributed ledger technology or any event that may create or modify a Client's rights, the Client shall be entitled to any new Crypto-Assets or rights created based on their position at the time of the event, unless a valid agreement with the Firm, signed before the event, provides otherwise.

The Firm shall be liable to its Clients for the loss of any Crypto-Assets or of the means of access to the Crypto-Assets as a result of an incident that is attributable to the Firm. The liability of the Firm shall be capped at the market value of the Crypto-Asset that was lost, at the time the loss occurred. Incidents not attributable to the Firm include any event in respect of which the Firm can demonstrate that it occurred independently of the provision of the relevant service, or independently of the operations of Firm, such as a problem inherent in the operation of the distributed ledger that the Firm does not control.

3. Clients' Funds Safeguarding

The Firm safeguards Clients' Funds by transferring them to a separate Safeguarding Account by the end of the business day following receipt. Clients' funds will not be used for the Firm's operational expenses or liquidity management and will remain the clients' property, free from claims against the Firm.

At least one Safeguarding Account will be maintained with an EU credit institution specifically for safeguarding Clients' Funds. The Firm is committed to selecting only reliable and reputable credit institutions to hold Clients' Funds. The Firm looks for credit institutions with strong balance sheets, positive credit ratings, and a proven track record of sound financial management and operational integrity.

The safeguarding obligation remains in effect as long as the Clients' Funds are in the Firm's possession and have not been transferred per the client's instructions. Daily reconciliations are performed to ensure the Safeguarding Account fully covers clients' funds.

4. Final provisions

The Firm may terminate the custody or other services provided to the Client, subject to prior notice. Upon termination, the Firm will return the Client's Crypto Assets or Funds in accordance

with the terms outlined in the Firm's Terms & Conditions.

This framework for safeguarding Clients' Funds and Crypto Assets is designed to ensure the protection and integrity of Clients' holdings, in line with applicable regulatory requirements, including MiCAR, and the Firm's internal policies and procedures.

The Firm reserves the right to modify this framework as necessary to comply with regulatory changes or to improve security and operational standards. Any amendments will be communicated to Clients.